

ANNEXURE – M

Business Responsibility and Sustainability Reporting

Introduction

Pursuant to Regulations 34 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

SKF is dedicated to delivering sustainable results via its business and business conduct. SKF Care is Company's sustainability framework covering the business, environment, employee and community. We have embarked on the journey of developing this Business Responsibility and Sustainability Report (BRSR) based on the suggested framework of SEBI. This is our first year of publishing the Business Responsibility and Sustainability Report and we consider this as an opportunity to showcase our performance and progress across Environmental, Social and Governance aspects.

Section A: General Disclosures

I Details of the listed entity		
1	Corporate Identity Number (CIN) of the Listed Entity	L29130PN1961PLC213113
2	Name of the Listed Entity	SKF INDIA LIMITED
3	Year of incorporation	1961
4	Registered office address	Chinchwad, Pune 411 033, Maharashtra.
5	Corporate address	Chinchwad, Pune 411 033, Maharashtra
6	E-mail	investors@skf.com
7	Telephone	020 66112500
8	Website	https://www.skf.com/in
9	The financial year for which reporting is being done	FY 2022-2023
10	Name of the Stock Exchange(s) where shares are listed	BSE Limited (BSE) and the National Stock Exchange of India Limited (NSE)
11	Paid-up Capital (In INR)	494,379,630
12	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	
	Name	Ranjan Kumar
	Contact	(+91) 20 66112231
	Email	investors@skf.com
13	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e., only for the entity) or on a consolidated basis (i.e., for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Standalone basis

II Product / Services

14. Details of business activities (accounting for 90% of the turnover)

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Manufacturing and dealers of Bearings	Manufacturing Bearing products and dealers of its components, condition monitoring and maintenance services.	100%

15. Products/Services sold by the entity (accounting for 90% of the entity's Turnover)

S. No.	Product/Service	NIC Code	% of total Turnover contributed
1	Bearings and its components	2814	100%

Business Responsibility and Sustainability Reporting (contd.)

III Operations**16 Number of locations where plants and/or operations/offices of the entity are situated**

Location	Number of plants	Number of offices	Total
National	3	7	10
International	0	0	0

17 Markets served by the entity**A Number of locations**

Locations	Number
National (No. of States)	28
International (No. of Countries)	30

b. What is the contribution of exports as a percentage of the total turnover of the entity?

8%

c. Brief on types of customers

SKF India Limited, is India's leading technology and solutions provider of bearings and units, seals, lubrication, condition monitoring and services. SKF's solutions provide sustainable ways for companies across the automotive and industrial sectors to achieve breakthroughs in friction reduction, energy efficiency, and equipment longevity and reliability.

In automotive segment, our customers include two-wheeler, four-wheeler, heavy vehicle manufacturers and aftermarket. In industrials, our market covers segments from Metal industry, Railways, Wind Energy, General Machinery and Food and Beverage Industry.

IV Employees**18 Details as at the end of Financial Year 2022-23****A. Employees and workers (including differently abled)**

S. No.	Particulars	Total (A)	Male		Female		Other	
			No. (B)	% (B / A)	No. (C)	% (C / A)	No. (H)	% (H / A)
EMPLOYEES								
1	Permanent (D)	743	626	84 %	117	16%	0	0
2	Other than permanent (E)	919	152	75%	50	25%	0	0
3	Total employees (D + E)	1,662	778	82%	167	18%	0	0
WORKERS								
4	Permanent (F)	919	918	99.1%	1	0.1%	0	0
5	Other than permanent (G)	2,350	2265	96%	85	4%	0	0
6	Total workers (F + G)	3,269	3183	97%	86	3%	0	0

Business Responsibility and Sustainability Reporting (contd.)

B. Differently abled employees and workers:

S. No.	Particulars	Total (A)	Male		Female		Other	
			No. (B)	% (B / A)	No. (C)	% (C / A)	No. (H)	% (H / A)
DIFFERENTLY ABLED EMPLOYEES								
1	Permanent (D)	0	0	100%	0	0 %	0	0%
2	Other than Permanent (E)	1	1	100%	0	0%	0	0%
3	Total differently abled employees (D + E)	1	1	100%	0	0%	0	0%
DIFFERENTLY ABLED WORKERS								
4	Permanent (F)	1	1	100%	0	0%	0	0%
5	Other than Permanent (G)	0	0	0%	0	0%	0	0%
6	Total differently abled workers (F + G)	1	1	100%	0	0%	0	0%

19 Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	6	1	16%
Key Management Personnel	4	0	0

20 Turnover rate for permanent employees and workers (Disclose trends for the past 3 years)

	Turnover rate in current FY (2022-23)				Turnover rate in previous FY (2022-21)				Turnover rate in the year prior to the previous FY (2020-21)			
	Male	Female	Other	Total	Male	Female	Other	Total	Male	Female	Other	Total
Permanent Employees	15.8%	18.8%	NA	16.3 %	13.4%	22.1%	NA	14.5%	22.3%	33%	NA	23%
Permanent Workers	5.9%	0.0%	NA	5.9%	5%	0.0%	NA	5%	5.0%	0%	NA	5.1%

V Holding, Subsidiary and Associate Companies (including joint ventures)**21. (a) Names of holding / subsidiary / associate companies / joint ventures**

S. No.	Name of the holding / subsidiary/ associate companies/joint ventures (A)	Indicate whether holding/Subsidiary/ Associate/Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	Sunstrength Renewables Private Limited	Associate	26.73%	No
2	Cleanmax Taiyo Private Limited	Associate	26%	No

VI CSR (Corporate Social Responsibility) Details

(i)	Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No)	YES
(ii)	Turnover (in INR)	43,049,156,150
(iii)	Net worth (in INR)	23,415,028,703

Business Responsibility and Sustainability Reporting (contd.)

VII Transparency and Disclosures Compliances**23 Complaints/Grievances on any of the principles 1 to 9 under the National Guidelines on Responsible Business Conduct**

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No)	(If yes, then provide web-link for grievance redress policy)	FY (2022-23)			FY (2021-22)		
			Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	No	NA	0	0	We periodically engage with community representatives for understanding their concerns.	0	0	During the year, we actively sought the feedback from the community members through third party audits, impact assessments, workshops and counselling sessions.
CSR Beneficiaries and community development partners	Yes	Community partners are expected to adhere to code of conduct (CoC) and any breaches/deviations from the code are expected to be reported as outlined in the code of conduct https://www.skf.com/in/organisation/for-supplier	0	0	We directly engage with our CSR partners who abide by SKF's CoC for implementation of CSR programmes and we have a mechanism where CSR Beneficiaries can raise their concerns through our CSR programme implementation partners.	0	0	We have conducted impact studies for our CSR programmes through third party. In association with CSR partners, we take up counselling and workshop sessions for beneficiaries.
Investors (other than shareholders)	Yes	https://www.skf.com/in/investors	0	0	-	0	0	-
Shareholders	Yes	https://www.skf.com/in/investors	1468	91	In FY 2022-2023, the Company received 1468 complaints of various natures. Of which 1377 were successfully resolved to the satisfaction of stakeholders and remaining 91 were carried forward and resolved by 29th April 2023.	1155	49	In FY 2021-2022, SKF India received 1155 complaints from shareholders. Of which 1106 were resolved to the satisfaction of stakeholders and remaining 49 were resolved by 26th April 2022.
Employees and workers	Yes	https://www.skf.com/binaries/pub12/Images/0901d196809a699a-Vigil-Mechanism-Policy-April-2019_1115_tcm_12-526427.pdf	2	1	Employees and workers concerns were duly addressed by the Company. Standard formal mechanisms were effective in timely resolution of the complaints.	0	0	Nil
Customers	Yes	https://www.emarketplace.in.skf.com/privacy-policy	NIL	NIL	To address our customers' grievances, we have different channels such as Complaint Handling system (administrative and technical), Customer care and website. During the reporting year, we received 687 admin complaints, 95 technical complaints. Out of these, 1 (0%) admin complaints, (36%) technical complaints are pending to be resolved as of 31st March 2023..	NIL	NIL	To address our customers' grievances, we have different channels such as Complaint Handling system (administrative and technical), Customer care and website. During the reporting year, we received 352 admin complaints, 197 technical complaints and 2641 customer care calls. Out of these, 0 (0%) admin complaints, 90 (45%) technical complaints and 0 (0%) customer care calls are pending to be resolved as of 31st March 2022.

Business Responsibility and Sustainability Reporting (contd.)

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No)	(If yes, then provide web-link for grievance redress policy)	FY (2022-23)			FY (2021-22)		
			Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Suppliers and Distributors	Yes	Suppliers and other value chain partners are expected to adhere to to code of conduct (CoC) and any breaches/deviations from the code are expected to be reported as outlined in the code. https://www.skf.com/in/organisation/for-supplier	NIL	NIL	Suppliers can register their grievances through dedicated E-Mail Id.	NIL	NIL	Suppliers can register their grievances through dedicated E-Mail Id.

24 Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	The rationale for identifying risk/opportunities	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	Customer performance	Opportunity	SKF India strives to meet the needs of its customers through innovative products and solutions.	-	Positive Implications
2	Economic Performance	Opportunity	SKF is a profit-driven organization. The financial performance is the overall indicator of the economic impact SKF has on society, as an employer, a member of the stock market and a customer and supplier to other companies.	-	Positive Implications
3	Occupational health and safety	Risk and opportunity	SKF gives top priority to the health and safety of employees, contractors, agency workers and visitors and is committed to providing safe and healthy working conditions to prevent work-related injury and ill health as well as to assure well-being in the work environment.	Workplace Safety at SKF India is guided by "SKF Care" principles for employees and "Business Care" and our operations are compliant with ISO 45001 standards.	Negative Implications
4	Energy and energy management	Opportunity and risk	We work towards positively impacting environment by focusing on reducing energy consumption and carbon footprint.	SKF India is adopting various strategies for reducing its own operational carbon footprint as detailed in Principle 6.	Positive and Negative Implications
5	Supplier ESG (Environmental, Social & Governance) performance	Opportunity and risk	Supply chain sustainability is very significant for resilient businesses. It is imperative to align the suppliers with the organisation's sustainability vision for creating long-term value.	SKF India works closely with its suppliers for meeting the Sustainability targets. We also run a supplier ESG improvement programme wherein the ESG performance of the suppliers is mapped and measures are taken for implementing key actions.	Positive and Negative Implications

Business Responsibility and Sustainability Reporting (contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	The rationale for identifying risk/opportunities	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
6	Anti-corruption	Opportunity and risk	Businesses care about meeting the customer expectations along with profitability and shareholder returns while adhering to the highest standards of ethical behaviour.	The Company has a strong code of conduct (CoC) in place outlining the strategies for transparent and accountable operations including Fair Competition Directive and Anti-Bribery and Anti-Corruption Directive to prevent, reduce and mitigate risk related to anti-corruption. All stakeholders are sensitised on our CoC and the Company has zero tolerance towards the non-compliance of CoC.	Positive and Negative Implications
7	Water	Opportunity and risk	Water stewardship in operations is essential for managing water related impacts and ensuring operational eco-efficiency.	SKF India focuses on environmental aspects like energy, water, soil, and air. The risks are identified through our Sustainability, EHS and plant teams for taking necessary steps to mitigate the probable risks.	Positive and Negative Implications

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies, and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Question

No	Particulars	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
	b. Has the policy been approved by the Board? (Yes/No)*	Y	Y	Y	Y	Y	Y	Y	Y	Y
	C. Web Link of the Policies, if available	The links for the policy to be viewed online are provided below: P1, P9 – The links for the policy to be viewed online are provided below: - P1 to P9 common for all https://www.skf.com/binaries/pub12/Images/0901d19680bccd5f-The-Code-of-Conduct-Handbook-SKF-in-India_tcm_12-567931.pdf - P1- https://www.skf.com/binaries/pub12/Images/0901d196809a699a-Vigil-Mechanism-Policy-April-2019_1115_tcm_12-526427.pdf - P2, P3 & P6 https://www.skf.com/binaries/pub12/Images/094e1bb46354cddc-Group-EHS-Policy_SKF_tcm_12-595022.pdf - P2 https://www.skf.com/binaries/pub12/Images/SKF%20Code%20of%20Conduct%20for%20suppliers%20and%20sub-contractors_English%20version%201_tcm_12-45396.pdf#cid-45396 - P8 – https://www.skf.com/binaries/pub12/Images/0901d19680cb2f37-SKF-India-CSR-Policy-2021_tcm_12-583398.pdf - P9 - https://www.skf.com/binaries/pub12/Images/094fc3b8be9b69dd-20-0102---Quality-poster_210702_tcm_12-595156.pdf								

Business Responsibility and Sustainability Reporting (contd.)

No	Particulars	P1	P2	P3	P4	P5	P6	P7	P8	P9
2	Whether the entity has translated the policy into procedures. (Yes / No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Do the enlisted policies extend to your value chain partners? (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
4	Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle	ISO 9001:2015, ISO 14001:2001:2015 / ISO450001:2018 , OECD guidelines for multinational enterprises, UN Global Compact Ten principle, Sustainable development Goals, SteelZero, RE100 and SBTi, Responsible Steel Initiatives LEED certification								
5	Specific commitments, goals and targets set by the entity with defined timelines, if any.	- By 2030, facilities of SKF India would be operating with decarbonisation strategy. - By 2050, SKF India will achieve Net-Zero emissions across the value chain 5% reduction in water consumption YoY								
6	Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	Refer to Principle 6 for performance against the targets								

* A common consensus is taken into consideration while finalising the policies and one signatory (MD/ Business Functional heads) signs the policies on everyone's behalf.

Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)

Message from Managing Director is included in the section of 'Corporate overview', in the article 'Driving intelligent and Clean growth' on page number 12.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).

The oversight and implementation of Business Responsibility Policies at SKF India is delegated by heads of Ethics, legal, Compliance, CSR and sustainability function. The board is periodically apprised about the observations and for taking appropriate actions wherever needed.

9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No).

If yes, provide details.

The delegation of material topics lies with Individual directors of Ethics, Legal, Sustainability and Corporate Affairs and overlooked by MD and Executive Director. Board is regularly apprised on the performance and management approach of the material topics by executive leaders.

10. Details of Review of NGRBCs by the Company

No	Subject for Review	Indicate whether review was undertaken by Director/ Committee of the Board/Any other Committee								
	Particulars	P1	P2	P3	P4	P5	P6	P7	P8	P9
	Performance against above policies and follow up action	Y	Y	Y	Y	Y	Y	Y	Y	Y
	Compliance with statutory requirements of relevance to the principles and rectification of any non-compliances	Y	Y	Y	Y	Y	Y	Y	Y	Y

Business Responsibility and Sustainability Reporting (contd.)

No	Subject for Review	Frequency (Annually / Half yearly / Quarterly/ Any other-please specify)								
		P1	P2	P3	P4	P5	P6	P7	P8	P9
	Performance against above policies and follow up action	Need-based, Regular								
	Compliance with statutory requirements of relevance to the principles and rectification of any non-compliances									

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.

No	Particulars	P1	P2	P3	P4	P5	P6	P7	P8	P9
9	Has the Company carried out independent audit / evaluation of the working of this policy by an internal or external agency?	N	N	N	N	N	N	N	N	N
10	If yes, provide name of the agency	NA	NA	NA	NA	NA	NA	NA	NA	NA

- These policies have been approved by the Board or, by the Managing Director or, by other person(s) under the authority of the Board and the Company reviews these policies periodically either on its own review or, on the inputs from Compliance team / Internal Controls / Internal Audits.

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

No	Particulars	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	The entity does not consider the principles material to its business (Yes/No)	Not Applicable								
2	The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
3	The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
4	It is planned to be done in the next financial year (Yes/No)									
5	Any other reason (please specify)									

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	Ongoing	On time to time basis.	100%
Key Managerial Personnel	Ongoing		100%

Business Responsibility and Sustainability Reporting (contd.)

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Employees other than BoD and KMPs	15	Employees were imparted training on various aspects like Code of Conduct, Antitrust, Anti-corruption, Anti-Bribery, Mindfulness, Safety trainings, Energy Management, EHS Management System and other job-related training for skill enhancement	100%
Workers	36	POSH Awareness workshop for employees	100%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

In FY 2023, there were no substantial fines/penalties/punishment/awards/compounding fees/settlement amount paid by the Company with regulators/law enforcement agencies/judicial institutions.

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed

Not Applicable

4. Does the entity have an anti-corruption or anti-bribery policy –

Yes. The Company has in place an anti-corruption and anti-bribery policy.

For more details, refer to the link.

https://www.skf.com/binaries/pub12/Images/0901d19680bccd5f-The-Code-of-Conduct-Handbook-SKF-in-India_tcm_12-567931.pdf

The Company expects the employees and workers to adhere to highest ethical standards during the discharge of official duties.

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2022-23	FY 2021-22
Directors	Nil	Nil
KMPs	Nil	Nil
Employees	Nil	Nil
Workers	Nil	Nil

6. Details of complaints with regard to conflict of interest:

	FY 2022-23		FY 2021-22	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	NIL	-	NIL	-
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	NIL	-	NIL	-

Business Responsibility and Sustainability Reporting (contd.)

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

We believe that ethical behaviour and good governance help an organisation in building stakeholder confidence. Our business ethics require us to drive high ethical standards in our business, increase our accountability by performing our duties with honesty and integrity and acting in a responsible and professional manner to follow the practice of fair competition and treat everyone with respect.

We have a well-defined Code of Conduct that requires full compliance with all applicable laws and regulations and exhibits our approach towards implementation of our core values - High ethics, Empowerment, Openness and Teamwork. We have constant communication with employees, including training on various topics of COC. We have also dedicated one week to create awareness about compliance, anti-corruption, conflict of interest and code of conduct implementation.

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe**Essential Indicator**

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY 2022-23	FY 2021-22	Details of improvements in environmental and social impacts
R&D	Nil	Nil	-
Capex	10%	2%	Various capital investments targeting the improvement in social and environmental performance have been taken up in FY 2023 which includes Solar Captive Energy, Oil recycling, Safety, Sprinkler system, fire suppression, water management

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)
Yes. Our EHS (Environment Health & Safety) policy outlines guidelines for energy and other natural resources conservation and this is extended to our value chain partners to promote green procurement. The Company is also conducting annual supplier sustainability assessment for Direct Material suppliers covering various ESG aspects. The Company also supports the outliers for the improvement and disengages with the defaulters.
- b. If yes, what percentage of inputs were sourced sustainably?
All critical suppliers have been sourced sustainably
3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for
- (a) Plastics (including packaging) - SKF India abides by EPR (Extended Producer Responsibility) regulations for management of packaging plastic materials.
The Company collects and recycles equivalent quality and quantity of plastics and in FY 2023, 318 tons were recycled as a part of EPR regulations.
- (b) E-waste - Nil.
- (c) Hazardous waste - Nil.
- (d) other waste - Nil
4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.
Yes, SKF India is registered as brand owner under EPR regulations for recycling of plastic wastes. The Company has recycled 318 tons of plastics wates in FY 2023.

Business Responsibility and Sustainability Reporting (contd.)

PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains.

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent Employees											
Male	626	626	100%	626	100%	0	0%	626	100%	0	Nil
Female	117	117	100%	117	100%	117	100%	0	0	117	100%
Total	743	743	100%	743	100%	117	100%	626	100%	117	100%
Other than permanent employees											
Male	152	152	100%	152	100%	0	0%	0	0%	0	Nil
Female	50	50	100%	50	100%	50	100%	0	0 %	0	Nil
Total	202	202	100%	202	100%	50	100%	0	0%	0	Nil

b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent workers											
Male	918	918	100%	918	100%	0	0%	918	100%	0	Nil
Female	1	1	100%	1	100%	1	100%	0	0%	1	100%
Total	919	919	100%	919	100%	1	100%	918	100%	1	100%
Other than permanent workers											
Male	2265	2265	100%	2265	100%	0	0	0	0%	0	0%
Female	85	85	100%	85	100%	85	100%	0	0%	0	0%
Total	2350	2350	100%	2350	100%	85	100%	0	0%	0	0%

2. Details of retirement benefits

Benefits	FY 2022-23			FY 2021-22		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100 %	100 %	YES	100%	100%	YES
Gratuity	100 %	100 %	YES	100%	100%	YES
ESI	0 %	27 %	YES	0 %	24 %	YES
Others – please specify	NA	NA	NA	NA	NA	NA

Business Responsibility and Sustainability Reporting (contd.)

Details Of Other Retirement benefits

Sr.	Name Of Benefits	FY 2022-23			FY 2021-22		
		No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
NA							

3. Accessibility of workplace

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Company is actively implementing and adding features across premises to make it more friendly for differently-abled. We have disabled friendly toilets at our Corporate office

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Upholding and protecting human rights and labour standards, within our organisation and across our value chain are of utmost importance to SKF. We ensure inclusive development through safe and fair employment practices and forbid discrimination against, or harassment of others based on race, caste, religion, nationality, gender, physical capability, marital status, sexual orientation, age, ancestry, or other reasons. For more details refer to Code of Conduct

https://www.skf.com/binaries/pub12/Images/0901d19680bccd5f-The-Code-of-Conduct-Handbook-SKF-in-India_tcm_12-567931.pdf

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	100%	100%
Female	100%	100%	100%	100%
Other	NA	NA	NA	NA
Total	100%	100%	100%	100%

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker?

If yes, give details of the mechanism in brief.	Yes/No	(If yes, then give details of the mechanism in brief)
Permanent Workers	YES	At SKF, we strongly believe in our core values and nurture a culture of free and transparent communication at all levels. We believe in gender neutrality and a policy has been framed accordingly. Every factory/ business unit has an Internal Complaint Committee constituted under the Prevention of Sexual Harassment Act. Further details on mechanisms for prevention of child labour and discriminatory employment are provided under Principle 5 of this report.
Other than Permanent Workers	YES	
Permanent Employees	YES	
Other than Permanent Employees	YES	

Business Responsibility and Sustainability Reporting (contd.)

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2022-23			FY 2021-22		
	Total employees / workers in respective category (A)	No. of employees workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees	743	0	0	769	0	
Male	626	0	0	651	0	Nil
Female	117	0	0	118	0	Nil
Total Permanent Workers	919	910	98.8%	911	901	98.9%
Male	918	908	98.9%	911	900	98.9%
Female	1	1	100%	1	1	100%

8. Details of training given to employees and workers:

Category	FY (2022-23)					PY (2021-22)				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	626	626	100%	626	100%	651	505	78%	651	100%
Female	117	89	76%	90	77%	118	4	3%	49	42%
Total	743	715	96%	716	96%	769	509	66%	700	91%
Workers										
Male	918	870	95%	918	100%	911	654	72%	911	100%
Female	1	1	100%	1	100%	1	1	100%	1	100%
Total	919	871	95%	919	100%	912	655	72%	912	100 %

Apart from above trainings, Company has conducted online training of 900 hours on Work and Personal Life Balance, Cancer Awareness, Immunity Based Nutrition, De-stress your Finances, Emotional Regulation.

9. Details of performance and career development reviews of employees and worker:

Category	FY 2022-23			FY 2021-22		
	Total (A)	No. (B)	% (B / A)	Total (D)	No. (E)	% (E / D)
Employees						
Male	626	626	100%	651	651	100%
Female	117	117	100%	118	118	100%
Other	-	-	-	-	-	-
Total	743	743	100%	769	769	100%
Workers						
Male	918	0	Nil	911	0	Nil
Female	1	0	Nil	1	0	Nil
Other	-	-	-	-	-	-
Total	919	0	Nil	912	0	Nil

Business Responsibility and Sustainability Reporting (contd.)

10. Health and safety management system:

- a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No).

If yes, the coverage such system?

The overall health and safety ambition for SKF is to reach zero accidents. Safety comes first and we believe that all work-related accidents can be prevented. Our primary goals include preventing injuries as well as safeguarding the health of all employees at the workplace. Our internal systems and controls are very well aligned with strategic goals aiming to reduce waste, safety risks, environmental impacts and operational costs.

SKF India Limited is an ISO 14001:2015/ ISO 45001:2018 certified company and we strictly follow EnMS & EHS system for management of occupational health hazards. We conduct Management Review meetings once in a year where Safety & Environment Management related issues like Legal compliance, Internal & External audits, and observations including safety are discussed. For identification of hazards, we conduct Internal and external audits i.e., Group EHS audit and observations are used for improving the effectiveness of existing controls.

All occupants of the premises are given adequate training through third-party seminars, training programmes, and workshops in addition to in-house sensitisation programmes. We also circulate various learning modules, publications, and newsletters for regular appraisal of safety-related news. We celebrate National Safety Month and World Environment Day to increase awareness on safety and environment. During the year, we had five recordable accidents and actions were taken to prevent such incidents in future. We have intensified our focus to reach our zero accident vision by conducting various engagement and awareness programmes.

- b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

As per the EMS, SKF India uses HIRA (Hazard Identification and Risk Assessment), a qualitative risk assessment to understand and identify the potential safety related risks and strategize mitigation plans for the management of risks. We have identified Emergencies like Fire, Spills / leakages, Accident, Food Poisoning, Vehicular Accidents, Electric Shock, Natural Disaster etc. ERP is available for management of precautionary controls of the above risks. Mock drills are conducted regularly. Details plan of ERP (Emergency Response Plan) & Mock drill reports are available at plant facilities. In addition, various third-part audits and compliance audits are taken up for management of potential health and safety risks.

- c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks?

We have a clearly defined, communicated, well-known, established and maintained procedure for managing unsafe conditions throughout the operational boundary. Employee participation is our culture for identification of work-related unsafe conditions. We encourage the involvement of employees / supervisors / managers in structured HIRA (Hazard identification and risk assessment) preparation / Safety walk / and sharing valuable feedback. SKF health and safety committees operate at factory or unit management level with the objective of bringing together worker and management representatives to discuss and agree on essential measures to improve the health and safety performance of SKF India. Employees and workers are trained to take up precautionary measures and remove themselves in event of any hazard.

- d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services?

SKF India has established dispensary support at all locations with tie-ups with doctors for employee health consultations. We have 24 hours ambulance service for emergency medical requirements. We have also tied up with hospitals to provide emergency services including healthcare services and treatment of workplace-related injuries.

Periodic health check-ups of employees and their families are done at renowned hospitals to ensure health and well-being of our workforce. We have an internal medical scheme for workers and an external scheme for staff employees, providing non-occupational health services to cater to their needs. Additionally, we organise need-based vaccination camps. Periodic health care/ awareness programmes are conducted in tie-ups with hospitals for employees on First Aid & Emergency, Women's Health, Hypertension & Diabetes management, Dental screening,

Business Responsibility and Sustainability Reporting (contd.)

eye check Audiometry etc. We have organised online or in-person training sessions on Work and Personal Life Balance, Health Hacks for Working Women, Importance of Sleep for a healthier lifestyle, Cancer Awareness, Yoga, Immunity Based Nutrition, Office Ergonomics and Desk Yoga for employee health and emotional wellbeing of our employees.

11. Details of safety-related incidents, in the following format:

Safety Incident / Number	Category	FY 2022-23	FY 2021-22
Lost Time Injury Frequency Rate (c) (per one mn - person-hours worked)	Employees	0	0
	Workers	0.6	0.68
Total recordable work-related injuries	Employees	0	0
	Workers	5	5
No. of fatalities	Employees	0	0
	Workers	0	0
High-consequence work-related injury or ill health (excluding fatalities)	Employees	0	0
	Workers	0	0

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

Our people and their experience and skills form our Company's most important asset. We are committed to maintaining a culture in which the health, safety, and well-being of all our employees is an integral part of our business. Through regular trainings programmes and awareness sessions, we continued to advance employee health, safety, wellness and responsible business practices across our business and operations during FY23. We worked together as an organisation to enact additional safeguards and policies to protect our dedicated workforce, while meeting our customers' critical needs as detailed in Principle 3 and Principle 5.

13. Number of Complaints on the following made by employees and workers:

	FY 2022-23			FY 2021-22		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	Nil	0	0	Nil
Health & Safety	0	0	Nil	0	0	Nil

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

15. Provide details of any corrective action taken or underway to address safety- related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

None

Business Responsibility and Sustainability Reporting (contd.)

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders**Essential Indicator****1. Describe the processes for identifying key stakeholder groups of the entity.**

Engaging and building trust with all stakeholder groups is vital to support the progress towards our business goals which is aligned with sustainable development for all.

At SKF India, we have consciously embraced corporate sustainability as our business approach for creating long-term stakeholder value by mitigating risks and harnessing opportunities.

We have identified 10 internal and external stakeholders and laid down a systematic process for engaging with them for mutual trust and growth. Our stakeholder engagement plan comprises the following steps:

- Aligning business practices with the needs and expectations of stakeholders
- Identifying individuals for engaging and establishing ongoing dialogue
- Staying engaged with stakeholders through corresponding counterparts at SKF India
- Using the engagements to receive feedback and inputs beneficial to the stakeholders and to SKF India
- Addressing specific stakeholder concerns within the rubric of sustainability which might have implications for SKF business and stakeholder groups.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Sr.	Stakeholder Group	Whether identified as Vulnerable & Marginalised Group	Channels of communication	Frequency of engagement	Purpose and scope of engagement including key topics and concerns raised during such engagement
1	Local Community around plant.	No	Social media	Regular, Need-Based	(i) Environmental and social impacts of SKF India operations
2	CSR Beneficiaries	Yes	Emails, Feedback Forms, Phone Calls, Physical Visits & Meetings	Monthly	(i) To enhance employability and entrepreneurship skills among youths (skilling) (ii) To support completion of higher education by girl students (scholarships) (iii) To develop analytical skills among school children (STEM education) (iv) To reduce the environmental and health hazards from indiscriminate dumping of domestic waste to pollute natural resources like land, air, ground water etc
3	Associate Partners/ NGO's	No	Emails, Telecommunication, Team Meetings and Physical Meetings	Monthly	(i) CSR Programme Need Assessment, Budgeting, Implementation (ii) Monitoring, Evaluations, Impact Assessment, Reporting and Compliances
4	Union/ State Government	No	Email, telecommunication	Yearly	(i) Collaboration for project execution (ii) Policy advocacy and sectoral developments
5	Employee and unions	No	Meetings, Email and Newsletters	Quarterly	(i) Aligning with business priorities, Employee health and safety, grievances (ii) Employee engagement and training programmes, Employee well-being
6	Shareholders, investors, and analysts	No	Investor Meetings, AGM, Annual report, Quarterly reports, Newspaper Publications, Regular Updation of Websites Regular intimation to Stock Exchanges	Quarterly	(i) Appraise about Company's periodic results and disclosures (ii) Improve their understanding of SKF's ESG commitments and performance

Business Responsibility and Sustainability Reporting (contd.)

Sr.	Stakeholder Group	Whether identified as Vulnerable & Marginalised Group	Channels of communication	Frequency of engagement	Purpose and scope of engagement including key topics and concerns raised during such engagement
7	Customers, dealers, and distributors	No	Emails, Mass emailers and Websites	Quarterly	(i) Customer Relationship Management, Enhancing customer experience (ii) Understanding market conditions and requirements
8	Suppliers and vendors	No	Emails, Mass emailers Websites	Quarterly	(i) Mutual sharing of needs and expectations (ii) Quality, cost, and delivery improvement (iii) Share knowledge and best practices, vendor recognition (iv) Strategic partnerships and value creation (v) Responsible sourcing (vi) Implementing CoC (Code of Conduct) for suppliers

PRINCIPLE 5: Businesses should respect and promote human rights**1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:**

Category	FY 2022-23			FY 2021-22		
	Total (A)	No. of employees/ workers covered (B)	% (B / A)	Total (C)	No. of employees/ workers covered (D)	% (D / C)
Employees						
Permanent	743	743	100%	769	769	100%
Other than permanent	202	202	100%	209	209	100%
Total Employees	945	743	100%	769	769	100%
Workers						
Permanent	919	919	100%	919	919	100%
Other than permanent	2,350	2,350	100%	2231	2231	100%
Total Workers	3,269	919	100%	3165	912	100%

Note: All employees of SKF India have to complete the SKF Code of Conduct commitment annually which outlines the Company standards on working ethics, Safe workplace, and key human rights issues applicable to SKF and its value chain. All the contractors have apprised about Code of conduct adharacne

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2022-23					FY 2021-22				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B /A)	No. (C)	% (C /A)		No. (E)	% (E /D)	No. (F)	% (F /D)
Employees										
Permanent	743	0	0%	739	100%	769	0	0%	769	100%
Male	626	0	0%	626	100%	651	0	0%	651	100%
Female	117	0	0%	117	100%	118	0	0%	118	100%
Other than Permanent	202	9	4%	193	96%	209	6	4%	203	96%
Male	152	8	5%	144	95%	172	5	3%	167	97%
Female	50	1	2%	49	98%	37	1	3%	36	97%
Workers										

Business Responsibility and Sustainability Reporting (contd.)

Category	FY 2022-23					FY 2021-22				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B /A)	No. (C)	% (C /A)		No. (E)	% (E /D)	No. (F)	% (F /D)
Permanent	919	0	0%	919	100%	944	0	0%	944	100%
Male	918	0	0%	918	100%	943	0	0%	943	100%
Female	1	0	0%	1	100%	1	0	0%	1	100%
Other than Permanent	2350	1392	62%	839	38%	2221	2015	58%	206	42%
Male	265	2062	90%	204	10%	2154	1948	90%	206	10%
Female	85	85	100%	0	0%	67	67	100%	0	0%

3. Details of remuneration/salary/wages, in the following format:

	Male		Female		Other	
	Number	Median remuneration/ salary/ wages of respective category in INR	Number	Median remuneration/ salary/ wages of respective category in INR	Number	Median remuneration/ salary/ wages of respective category in INR
Board of Directors (BoD)	3	11244166	1	2780940	0	NA
Key Managerial Personnel	4	9544252	0	0	0	NA
Employees other than BoD and KMP	626	1457601.5	117	1122836	0	NA
Workers	919	876668	1	305745	0	NA

Non Executive Board of directors are not part of remuneration.

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business?

The Sustainability team oversees the disclosures of due diligence with respect to human rights related issues. The team conducts supplier meets to create awareness among the suppliers on human rights related issues. Employees can raise their concerns relating to human rights through various channels as detailed in Section A, Principle 3.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

In case of any grievance related to discrimination, employees are free to approach either individually or through the union to the HR Manager, Factory Manager or Director HR. Our responsible sourcing team visits and audits suppliers for identifying potential social risks such as missing employment contracts, wage disparity for women, non-payment of overtime wages and other benefits of employment like leave payment. We ensure that our value chain respects the human rights of all employees (direct/indirect/pay roll and/or contractual worker). Further, Suppliers should maintain ethical standards as laid out in Code of Conduct for suppliers with respect to aspects such as child labour, forced labour, discrimination, disciplinary practices, working hours, legal compensation, health, and safety practices.

Business Responsibility and Sustainability Reporting (contd.)

6. Number of Complaints on the following made by employees and workers:

	FY 2022-23			FY 2021-22		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	3	2	The Company has taken necessary action to resolve the pending actions	0	0	-
Discrimination at workplace	0	0	-	0	0	-
Child Labour	0	0	-	0	0	-
Forced Labour/ Involuntary Labour	0	0	-	0	0	-
Wages	0	0	-	0	0	-
Other human rights related issues	0	0	-	0	0	-

7. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

SKF India is a fair and equal opportunity employer and believes in gender parity. The Company encourages employees and workers to report on any grievances or potential social risks and ensures the protection of the whistle-blower. Any victimisation, discrimination or harassment of the complainant by any of the parties is intolerant and the Company takes necessary actions. Employees and workers can report any concerns of breach of code of conduct and unethical behaviour through various channels like emails etc., The escalation is directed to senior executives including audit committee for preliminary investigations. Actions are taken up as per the directives laid down during the grievance resolution.

8. Do human rights requirements form part of your business agreements and contracts? (Yes/No) - Please share answer

Yes, we believe that it is our obligation to respect human rights. Our commitment to human and labour rights enables us to provide a safe and healthy workplace, offering a non-discriminatory environment, and enhance diversity across the organisation. In addition, human rights related clauses form a part of our business agreements and contracts enabling a collaborative environment to work actively against the employment of child and forced labour and any form of harassment.

9. Human rights Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100%
Forced/involuntary labour	100%
Sexual harassment	100%
Discrimination at workplace	100%
Wages	100%

10. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 9 above.

There were no significant risks/concerns identified during the assessments.

Business Responsibility and Sustainability Reporting (contd.)

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment**1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:**

Parameter	Unit	FY 2022-23	FY 2021-22
Total electricity consumption (A)	GJ	241812	237848
Total fuel consumption (B)	GJ	8939	13097
Energy consumption through other sources (C)	GJ	0	0
Total energy consumption (A+B+C)	GJ	250751	250945
Energy intensity per rupee of turnover (Total energy consumption/turnover in rupees)	GJ/mn Rupees of Turnover	5.82	6.85
Energy intensity (optional) – the relevant metric may be selected by the entity	NA	NA	NA

"Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? – No

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India?

If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Not Applicable

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2022-23	FY 2021-22
Water withdrawal by source (in kilolitres)		
(i) Surface water	0	0
(ii) Groundwater	7585	6820
(iii) Third party water	291414	298306
(iv) Seawater / desalinated water		
(v) Others		
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	298999	305126
Total volume of water consumption (in kilolitres)	298999	305126
Water intensity per rupee of turnover (Water consumed in kilolitre/ turnover)	6.95	8.33
Water intensity (optional) – the relevant metric may be selected by the entity	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No

1. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

SKF assures that environmental matters are prioritised by integrating environmental performance delivery into the responsibilities of the factory manager or EHS team. Zero Liquid Discharge (ZLD) is a water treatment process designed to remove all the liquid waste from a system. The focus of ZLD is to reduce wastewater economically and produce clean water that is suitable for reuse. Effluent treatment plant and Sewage treatment plants are installed at all units. The treated water is used for gardening purposes.

Business Responsibility and Sustainability Reporting (contd.)

5. Please provide details of air emissions (other than GHG (Greenhouse Gas) emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2022-23	FY 2021-22
NOx	Metric Tonnes	1310	1501
SOx	Metric Tonnes	720	826
Particulate matter (PM)	Metric Tonnes	14.3	13.5
Persistent organic pollutants (POP)		NIL	NIL
Volatile organic compounds (VOC)		NIL	NIL
Hazardous air pollutants (HAP)		NIL	NIL

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) - No

6. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2022-23	FY 2021-22
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric Tons of CO ₂	1783	2612
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric Tons of CO ₂	48228	47437
Total Scope 1 and Scope 2 emissions per rupee of turnover		1.12	1.37
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity	NA	NA	NA

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)

If yes, name of the external agency.

No

7. Does the entity have any project related to reducing Green House Gas emission?

If yes, then provide details.

SKF India is committed to maximizing the deployment of renewable sources in operations such as Solar, Hydro and Wind which are listed below.

- SKF Pune uses solar power through Captive Solar power purchase agreement from an offsite solar project of 8.4 MW capacity catering to 30% of its total yearly energy requirement. In the FY 2022-23, SKF Pune received 12.3 GWh of solar energy leading to savings of 9963 tCO₂ emissions
- In FY 2022-23, SKF Bangalore received 14.7 GWh of farm and roof top solar power which is 76% of total power requirement resulting in savings of 11907 tCO₂ emissions.

8. Provide details related to waste management by the entity, in the following format:

“For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)”

	FY 2022-23	FY 2021-22
Category of waste		
(i) Recycled	3435.6	2459.7
(ii) Re-used	0	0
(iii) Other recovery operations	232.0	219.9
Total	3667.6	2679.7

Business Responsibility and Sustainability Reporting (contd.)

	FY 2022-23	FY 2021-22
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	1666.7	1759.7
(ii) Landfilling	417.2	85.7
(iii) Other disposal operations	0	0
Total	2082.9	1845.4

"Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)" –
No, we have not conducted independent assessment

8. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2022-23	FY 2021-22
Total Waste generated (in metric tonnes)		
Plastic waste (A)	76.4	78
E-waste (B)	13.3	5.6
Bio-medical waste (C)	0.007	0.006
Construction and demolition waste (D)	0	0
Battery waste (E)	0	0
Radioactive waste (F)	0	0
Other Hazardous waste. (Grinding dust, ETP sludge, Filter paper, Oily waste and used oil) if any. (G)	3122	2772
Other Non-hazardous waste generated (H). All waste which is not listed above	2538.5	1669
Total (A+B + C + D + E + F + G + H)	5750	4525

9. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your Company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Our robust waste management processes details the strategies for the safe handling of hazardous and toxic chemicals.. Plastic wastes which are generated from the operations are recycled and diverted from landfill. E-Wastes generated are handed over to authorised recyclers for safe disposal. SKF India ensures resource-efficiency throughout the operations resulting in reduced waste generations. Various product sustainability requirements such as REACH, ROHS, and Conflict minerals are adhered to by SKF and material suppliers. We provide information to our customers for specific customer-driven system like CDX (Component Data Exchange) IMDS standards. (The International Material Data System) for the effective and safe handling of hazardous substances.

10. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals/clearances are required, please specify details in the following format:

We do not have any operations in ecologically sensitive areas.

11. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Not Applicable

Business Responsibility and Sustainability Reporting (contd.)

12. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N).

If not, provide details of all such non-compliances, in the following format:

Yes, Company is compliant with Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent**1. a. Number of affiliations with trade and industry chambers/ associations.**

- 13

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to

SR No	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National/ International)
1	Confederation of Indian industry	TPM, Quality, Sustainability, CSR, Sales, Industrial relations, Supplier TPM deployment and other admin issues related to the local industries
2	Indian Wind Turbine Association	Wind Industry and Policy updates and influence
3	Textile Machinery Manufacturer Association	Textile industry updates and connect
4	Indian Machine Tools Manufacturers Association	Machine tool industry updates and connect
5	Swedish Chambers of Commerce	Association of Swedish Companies in India
6	Condition Monitoring Society of India	To promote more Reliability of equipment. Paid lifetime subscription.
7	Bangalore Chamber of Industry and Commerce	Employee training and development
8	Institute of Internal Auditors	Connect with the Internal Auditors community and sharing of knowledge and best practices
9	National Safety Council	Providing guidance and services to make workplaces safer, healthier and environmentally friendly.
10	Quality Circle Forum of India	Propagation of quality concepts and philosophy with a special focus on Quality Circles for promoting material, human and spiritual level of people.

2. Provide details of corrective action taken or underway on any issues related to anti- competitive conduct by the entity, based on adverse orders from regulatory authorities.

Sr.	Name of authority	Brief of the case	Corrective action taken
1	Nil	Nil	Nil

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development**1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.**

Not applicable.

2. Provide information on project (s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Not applicable.

Business Responsibility and Sustainability Reporting (contd.)

3. Describe the mechanisms to receive and redress grievances of the community.

The Company's CSR team receives feedback from beneficiaries during the implementation of CSR programs. Annual feedback is collected from all beneficiaries. Across all our operating locations, community members can reach us through the HR (Human Resources) department or the union representatives. Local Plant HR managers are responsible for resolving issues in the community. Impact studies are conducted to help SKF India understand the effectiveness and reach of implementation and plan for increasing the beneficiaries of CSR programmes.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

Parameter	FY 2022-23	FY 2021-22
Directly sourced from MSMEs/ small producers	50%	50%
Sourced directly from within the district and neighbouring districts	20%	20%

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner**1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.**

We receive the ratings from customers as feedback towards our products and services. Average customer rating in the reporting year was observed to be around 97%. We have established dedicated channels such as a Complaint Handling system (administrative and technical), Customer care and website for customers to raise their concerns. The Company ensures the timely resolution of the complaints/concerns.

2. Turnover of products and/or services as a percentage of turnover from all products/services that carry information about.

The Company displays product information on the product label, as per mandatory declaration in compliance under the legal metrology laws i.e., the Legal Metrology (Packaged Commodities Rules) 2011. We also declare significant information about the product such as traceability, and special anti-counterfeit marking to make the entire process genuine.

We share the information given below about our products and services

- The sourcing of components of the product or service (Conflict Minerals)
- Content, particularly with regard to substances that might produce an environmental impact as per REACH, ROHS,
- Safe use of the product or service
- Disposal of the product & environmental impact.

	As a percentage to total turnover
Environmental and social parameters relevant to the product	100
Safe and responsible usage	100
Recycling and/or safe disposal	100

3. Number of consumer complaints in respect of the following

	FY 2022-23			FY 2021-22		
	Received during the year	Pending resolution at end of year	Remark	Received during the year	Pending resolution at end of year	Remark
Data privacy	0	0	NIL	0	0	Nil
Advertising	0	0		0	0	
Cyber-security	0	0		0	0	
Delivery of essential services	0	0		0	0	
Restrictive Trade Practices	0	0		0	0	

Business Responsibility and Sustainability Reporting (contd.)

	FY 2022-23			FY 2021-22		
	Received during the year	Pending resolution at end of year	Remark	Received during the year	Pending resolution at end of year	Remark
Unfair Trade Practices	0	0	Nil	0	0	Nil
Other	0	0		0	0	

4. Details of instances of product recalls on account of safety issues

	Number	Reasons for recall
Voluntary recalls	0	0
Forced recalls	0	0

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? If available, provide a web-link of the policy

Increasing information security threats, increasing customer scrutiny and regulatory requirements to adhere to information security standards have placed responsibility on the Company to establish suitable due diligence for preventing the loss of customer data.

We have Risk management policy to assess and identify risks arising out of internal and external operating environments including financial, operational, sectoral, sustainability, information, cyber security risk or other risks. In addition, Risk management Committee also identifies other probable risks from time to time. To mitigate information security risk, cyber security risk and data privacy risks, we will continue the implementation of the information security program, including the controls in SKF's Information Security Management System (ISMS).

Kindly Refer to following policies for more details

https://cdn.skfmediahub.skf.com/api/public/094128b54400ccfb/pdf_preview_medium/094128b54400ccfb_pdf_preview_medium.pdf

<https://investors.skf.com/en/risk-management>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

There were no such instances during the reporting year.